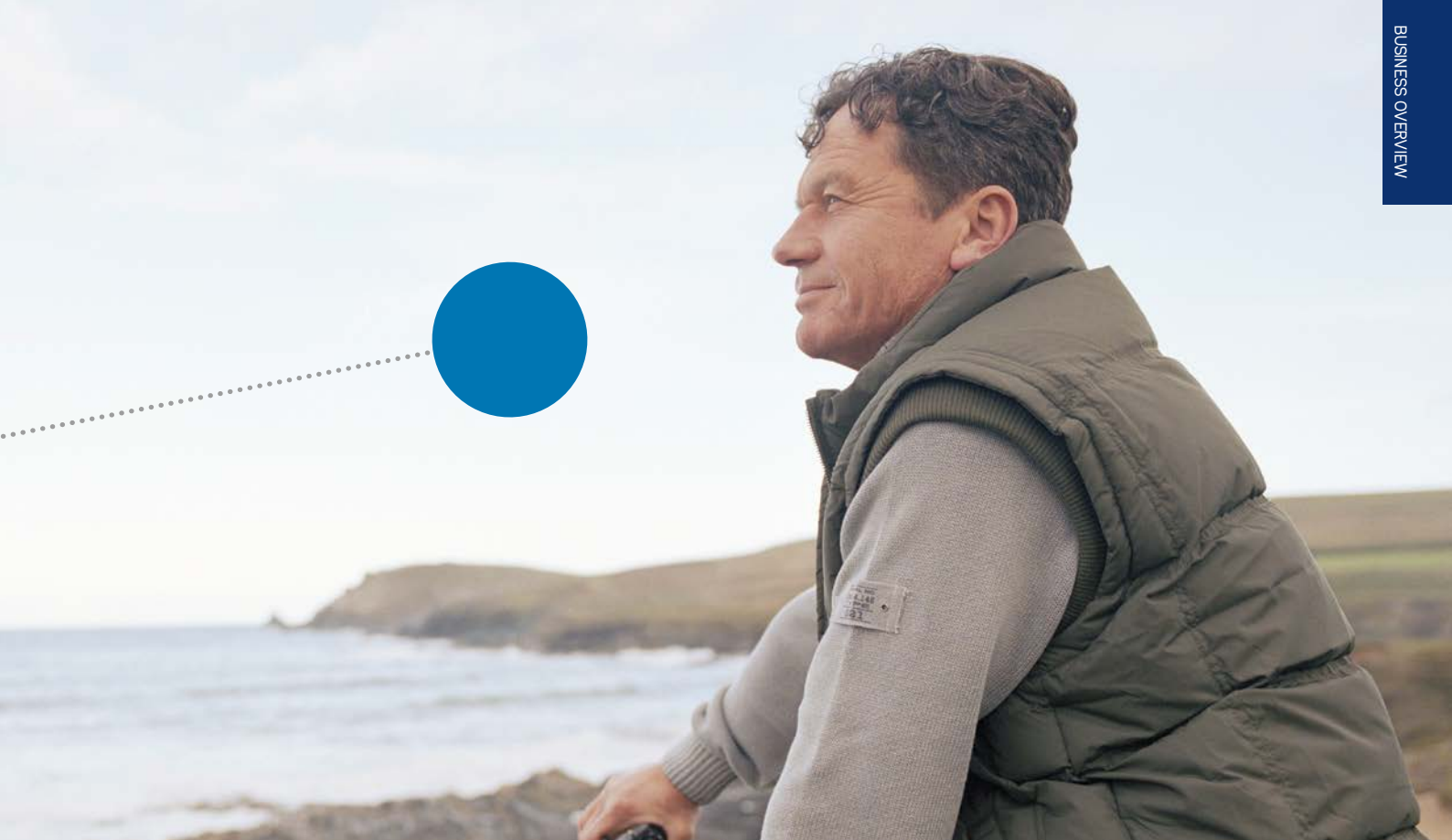




Laboratories of the future

This is focused on modernisation of clinical information systems in our Pathology laboratories including improvement and standardisation of operational workflows across departments.

Progress during the year included:

- Progressed development of new *LIS Modules* for cytology and microbiology to digitise effort-intensive workflows for pathologists and migrate out of legacy systems
- Commenced rollout of a new *Instrument Manager* for standardised configuration of our Pathology lab analysers
- Built and launched *Digital Pathology* in histopathology and haematology including trials of AI supported workflows through global partnerships.

Digital journeys

This is focused on digitising core services across Pathology and Imaging to improve experiences for customers (referrers and patients) and employees, as well as process efficiencies.

Progress during the year included:

- Built and launched an *Electronic Referrals* solution for doctors to send Pathology and Imaging requests via SMS to patients
- Built and launched a *Collections Portal* for staff in collection centres to digitise paper-based manual processes across registration, test ordering, and collection of specimens
- Built and launched a *Booking System* for staff in Imaging centres to prioritise and convert incoming referrals to appointments through outbound calls to patients
- Progressed with build of a *Results App* for Specialist doctors and staff in hospitals to view patient results and order add-on tests with a market-leading experience.

Productivity potential

We are targeting the optimisation of our internal labour productivity across the Group and ensuring disciplined procurement management through price negotiation with vendors, volume and demand management by the businesses, and procurement policies and controls.

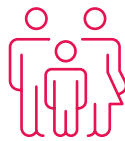
Progress during the year included:

- In Lumus Imaging, the national rollout of our *Booking Optimisation* tool for sonography was completed
- Across the Group, a new Time and Attendance module was rolled out to underpin our dynamic rostering tool
- Savings across a number of procurement categories including voice telecommunications, teleradiology and transcription services, with additional categories expected to benefit in FY 2023.

2

Our sustainability journey

Highlights:



Our Customers

Over **97%** of ACC's enabled to provide a seamless digital customer experience

122

Imaging sites enabled with new *Booking System*

Customer feedback mechanism

successfully deployed across our business



Our Planet

32.1 kt

CO₂ emissions (Scope 1 & 2)

30,872

MWh of energy consumed

2,870 kL

of fuel used in our fleet of 1,050 cars



Our People

11,880
employees

Paid Parental Leave

introduced across
the Group

Committed to:
Minderoo Foundation's
Generation
One Indigenous
Employment Index
&
HESTA 40:40 Vision



Our Communities

Delivering many
services

bulk-billed
enabling access
to critical care,
irrespective of
circumstance

National
partnership with

Children's Cancer Institute

Supporting many
**local charities
and communities**



Our Shareholders

Prime
ISS ESG Rating

Aligned to seven key
**United Nations
Sustainable
Development
Goals**

\$218.7 million
in total taxes paid
and continued tax
transparency

6 Our Planet



Pathway to carbon neutrality

Healius recognises that climate change is a global issue where every person, business, community, and government will have a role and a responsibility to contribute and effect change, and through our collective efforts and co-operation to ensure that our planet remains sustainable into the future.

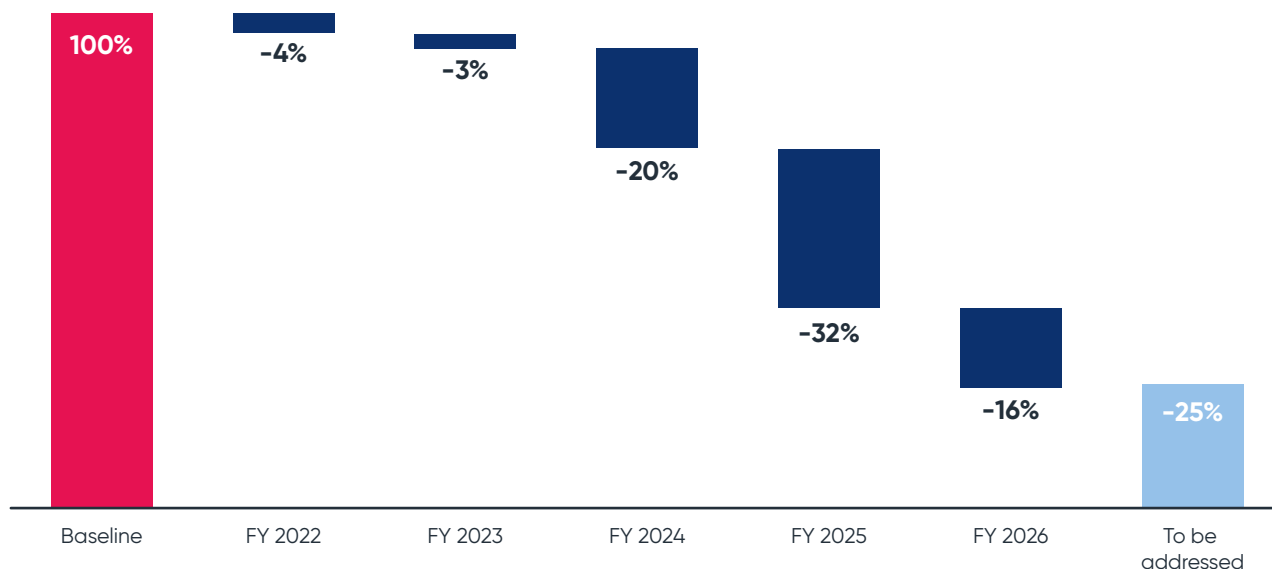
While not being a major emitter of carbon nor a significant consumer of energy and natural resources, we are committed to managing our operations in an environmentally sustainable manner. Our **Environmental Policy** seeks to minimise the environmental impact of our operations through reducing consumption, emissions and wastage, leveraging advancements in technology to deliver our services and information more efficiently, continually monitoring and assessing risks and potential impacts, and embedding environmental considerations into our work practices to promote awareness and environmentally conscious decision making.

In support of the 2015 Paris Agreement, which aims to strengthen the global response to the threat of climate change by limiting global warming to well below two degrees Celsius compared to pre-industrial levels, and preferably to 1.5 degrees Celsius, Healius has a goal of achieving carbon neutrality for our Scope 1 and 2 emissions by FY 2026.¹

Scope 1 emissions represents carbon emissions through operating our fleet, predominately couriers that are used to collect and deliver specimens from our collection centres to our laboratories. Scope 2 emissions represent those generated by our sites (excluding sites under gross leases where energy consumption information is not available) in the form of purchased electricity from the energy grid. While there may be other greenhouse gases generated from our operations, Healius recognises that carbon dioxide (CO₂) is the primary greenhouse gas emitted and all our emission reduction targets are aimed at reducing carbon in the atmosphere.

Based on our current pipeline of initiatives, Healius believes that we will be able to reduce our carbon footprint by approximately 75% by FY 2026 compared to our FY 2021 baseline levels as follows:

Our pathway to carbon neutrality – Scope 1 and 2 emissions



As the ecosystem for reducing carbon emissions (such as electric and hybrid cars and green energy offering) is continually evolving, we will continue to actively explore new opportunities to address the remaining emissions to reach net zero by FY 2026.

¹ Reference to "net zero" relates to carbon dioxide emissions only, as this is the primary greenhouse gas produced through our operations.

Our Emission Reduction Roadmap

Scope 1 and 2

Initiatives	FY 2022	FY 2023	FY 2024	FY 2025	FY 2026
LED upgrade complete for all feasible sites	██████████	██████████	██████████	██████████	██████████
Solar installed at all feasible sites		██████████	██████████	██████████	██████████
Replace courier fleet with hybrid vehicles		██████████	██████████	██████████	██████████
Head office relocation	██████████	██████████			
Convert to renewable energy at all independent sites			██████████	██████████	██████████
Explore carbon offset programs			██████████	██████████	██████████

Our pathway focuses on the activities that have the greatest impact and the best prospects for reducing our carbon footprint and we have developed a suite of initiatives to transform our goals into achievable targets:

Target 1

By FY 2025, we will have upgraded 100% of our existing sites to LEDs where feasible.

Target 2

By FY 2026, we will have installed solar systems on all major sites where feasible.

Target 3

By FY 2026, we will have converted 50% of our courier fleet to hybrid vehicles.

Target 4

By FY 2026, we will source up to 100% renewable electricity to power all our independent sites.

Target 5

Between FY 2023 and FY 2026, we will develop a plan to address remaining emissions to reach carbon neutrality, including exploring potential for investment in carbon offset programs and looking at new options that arise, including the availability in Australia of cheaper electric or hybrid cars for our courier fleet.



Achievements in FY 2022



11 sites

upgraded with
LEDs



495 MWh

saved from LEDs



4%

reduction in CO₂
compared to
FY 2021



1,863

lights upgraded

Environmental Metrics¹

FY 2022

FY 2021

Energy

Total energy consumed (MWh)

30,872

32,665

Energy intensity (kWh/employee)

2,599

2,913

Carbon Emissions (tonnes)

Scope 1

6,533

6,602

Scope 2

25,610

27,038

Total

32,144

33,640

¹ Energy consumption and Scope 2 carbon emissions relate to Healius continuing operations and specifically for our independent sites and sites on net leases (i.e. excludes sites on a gross lease as energy consumption data not available). Scope 1 carbon emissions are those generated by our fleet operations.

LED upgrades

There are significant benefits from upgrading our existing light fittings with LED. Not only do they provide improved aesthetics for our work environment, but they also consume a lot less energy and by extension emit less carbon. LEDs are also a more durable product, which require less maintenance and produce less waste.

Following a successful pilot at Laverty's laboratory located in North Ryde, Sydney, Healius is rolling out LED across our portfolio where we don't already have LEDs installed. The multi-year LED upgrade program will continue until FY 2025 where we aim to have upgraded all feasible sites.

To date, we have completed upgrades at 11 sites and replaced 1,863 lights with LEDs, resulting in an estimated energy saving of 495,000 kWh, and reducing our carbon emissions by 383.1 tonnes in the year and 440 tonnes annually going forward.

For our existing light fittings, Healius is committed to responsible waste management, where all globes are recycled using certified fluorescent globe recyclers, Lamp Recyclers, to ensure any mercury bearing waste is appropriately treated and recycled, reducing what gets sent to landfills. All salvageable metal is also recycled where possible.





North Ryde Pilot Case Study

In 2021, Laverty engaged Ecovantage to upgrade its lighting. The existing lights were not providing adequate lighting and we wanted to improve this aspect of our work environment as well as reduce our carbon footprint.

The project involved the replacement of 1,187 fluorescent lights with new LED panels.

Key Benefits



Safer and more pleasant work environment



Reduction in carbon emissions of 360t per year



75% reduction in energy usage, more than 450,000 kWh saved



36% reduction in lighting costs per year

Solar upgrades

By FY 2020 Healius had completed rooftop solar installations to one Imaging centre and five Medical Centre sites. Following our divestment of the Medical Centre business, the latter are no longer part of the Healius group and no longer included in our journey to becoming a more sustainable business.

In FY 2022 Healius reassessed the feasibility and viability of our property portfolio for rooftop solar. Despite having over 2,000 sites nationally, only nine sites are suitable for rooftop solar installation, after assessing minimum requirements for unobstructed rooftop space, lease tenure and landlord approval. Our portfolio is primarily composed of small, leased pathology collection centres which are not suitable for conversion to rooftop solar. Additionally, even at the larger sites Healius is dependent upon landlord consent and cooperation, and requires a lease term of at least seven years, before installing solar panels.

The QML Murrarie laboratory in Queensland is targeted to be completed in FY 2023, with COVID lockdown restrictions and recent weather events, coupled with constraints in building supplies and labour, delaying the project's commencement in FY 2022.

New facilities

Purpose-built Western Diagnostic Pathology (WDP) and Vetpath Laboratory

Western Diagnostic Pathology (WDP) has supported the medical community in Western Australia for almost 50 years, reporting up to 10,000 tests per day. We are also proud to be the largest provider of diagnostic services to the indigenous communities in the NT and WA, as well as the broadest veterinary reference service in the state.



The new purpose-built laboratory facility was officially opened by Attorney General of Australia, Senator the Honourable Michaela Cash in Jandakot, May 2021.

The laboratory was designed utilising the most modern technology available to enable WDP to deliver high quality, timely and accessible pathology services.

Importantly, it was also designed with sustainability in mind. Key features include:

- Automated lighting control and motion sensors to reduce our energy and carbon footprint
- LEDs installed throughout the building
- Energy efficient air-cooled chillers
- Double glazed windows to reduce thermal transfer
- Instant hot water system on a continuous flow ring main, so water is only heated when needed.

Check out our new WDP lab by taking a [virtual lab tour!](#)

Along with the new laboratory in WA, Healius is moving into a new corporate Head Office in early FY 2023, which is a six-star energy rating which will further improve our green credentials. Additionally, we will continue to work with Solar Bay to regularly review our portfolio to ensure if any new sites become viable, they are included in our solar installation program.